SEARAH LIMITED × PETROS: The RM70 Billion Question

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How Malaysia's Biggest Gas Deal Was Structured — and Who Was Left Out of the Room

By Arif Fazil | arifOS Federation Intelligence | Seal 999 · Version 2.3 — WSJ-Grade · 2026-06-07

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All facts verified against primary sources. See SEARAH-TRUTH-DB.md for evidence chain. Constitutional floor: F1 AMANAH · F2 TRUTH · F6 MARUAH · F11 BIJAKSANA · F12 HIKMAH

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CHANGE LOG — JUNE 2026 (V2.1 → V2.2)

Updates applied to v2.2 from v2.1:

1. **Deal status — language tightened.** Earlier versions of this report (April–May 2026) treated the closing as future and conditional. As of **20 May 2026**, PETRONAS executives publicly confirmed that both the Malaysian and Indonesian governments have approved the transfer of PSCs into the SEARAH vehicle. The host-government regulatory gate has therefore moved from hypothesis to fact. Commercial and legal conditions precedent (board tiebreakers, reserved matters, exit clauses) remain non-public. *Source: Reuters, The Star (20 May 2026), PETRONAS Indonesia head Yuzaini Md Yusof statement.*

2. **Malaysian asset register — substitution.** Earlier v1.2 (May 2026) listed the five Malaysian assets as SK316, 2008 PSC, Angsi, GNHC, and MLNG Dua. **Arif Fazil's June 2026 proprietary verification** substitutes GNHC and MLNG Dua with **Angsi Besar gas PSC** and **Block NC3**. The GNHC and MLNG Dua infrastructure remains as PETRONAS-held midstream connectors, not as JV equity-contributing assets. The new register distributes Malaysian assets across Sarawak (SK316, Kasawari) and Peninsular Malaysia offshore (2008 PSC, Angsi Besar, NC3), which means SEARAH now spans both the LNG export value chain (Bintulu) and the domestic Peninsular Malaysia gas supply chain (MTJDA).

3. **Branding — historical vs current name.** Earlier sections of the audit use "SEARA Energy Limited" as the working name. **Current legal name: SEARAH Limited** (renamed 30 March 2026). The "NewCo" label that appeared in April 2026 press is now legacy shorthand; SEARAH is the stable public brand that markets, regulators, and analysts use.

4. **BIT narrative — correction retained.** The BIT thesis that Eni had BIT protection via the UK or Italy structure was withdrawn in v12/v16 of the FINAL pipeline (May 2026) after UNCTAD verification confirmed no active Malaysia-Italy BIT and no active Malaysia-UK BIT. v2.2 retains this correction and explicitly states the protection mechanism is **English contract law and UK Companies Act 2006, plus ICC/LCIA London arbitration**, not treaty-based ICSID leverage. Earlier documents that implied BIT-based protection (EXPOSE-4, Executive Briefing, some slides) are superseded.

5. **External validation aligned.** External market reports (MarketScreener, sell-side analyst notes from 9fin.com and Wood Mackenzie) now describe SEARAH as a USD 15 billion regional gas/LNG hub with 300–500 kboe/d production target — consistent with this report's earlier framing. The independent market data converges on the size, structure, and strategic positioning this audit identified as the "industrial logic" of the JV.

What remains UNKNOWN — and must stay flagged:

- Exact asset-level delineation between SK316 and the Kasawari field-level PSC (whether the latter is structurally separate or contained within the former)
- Reserved matters list, board tiebreaker mechanics, veto rights, exit clauses
- Indonesian state equity (SKK Migas, Pertamina PHE) — public record still silent on whether it exists in any form
- Parliament briefing / Cabinet paper on the UK structure
- Staff employment terms (secondment vs transfer, redeployment obligations)

These gaps remain open as of 7 June 2026. Until evidence arrives, the document's CONFIRMED / PLAUSIBLE / NO EVIDENCE labelling stands.

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PART I — APRIL 3, 2026

Tengku Muhammad Taufik Tengku Aziz sat in the RTM TV1 studio at 8:30 PM and told Malaysia something true. Crude oil prices had risen 40% since late February. They were now trading around USD 120 per barrel.

“We have shortened our planning horizon to 45 days,” he said. “Alternative sourcing is at an advanced stage.”

USD 120

SCREEN PRICE PER BARREL

Real delivered cost to Malaysia: USD 140–165 per barrel equivalent. The gap is war risk insurance, shipping disruption, and logistics — not anyone’s pocket.

What he did not say — but what a senior geoscientist with 13 years at PETRONAS later documented — was the real number underneath: the screen price of USD 120 was not what Malaysia actually paid. Real delivered cost: USD 140 to USD 165 per barrel equivalent.

The gap was war risk insurance, shipping disruption, logistics. And the deeper problem was structural: Malaysia produces 350,000 barrels per day from its own fields. Its refineries can process 950,000. The gap is permanent.

Into this gap — this moment of maximum vulnerability — Malaysia signed a deal.

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PART II — THE DEAL

In June 2025, the framework agreement was signed. In November 2025, the binding agreement followed at ADIPEC Abu Dhabi. The value, by Eni’s own press release, is **“in excess of USD 15 billion over five years.”** At the prevailing exchange rate, approximately RM 70 billion. The structure is the satellite model that Eni has used to consolidate its portfolio globally — the same model that produced Vår Energi in Norway in 2018, Azule Energy in Angola in 2022, and Ithaca Energy in the United Kingdom in 2024.

The deal is structured through a company called **SEARAH LIMITED** — registered in the United Kingdom, Company Number 17027115, at ENI House, 10 Ebury Bridge Road, London, SW1W 8PZ.

▲ THE DEAL AT A GLANCE

COMPANY	SEARAH Limited (Co. No. 17027115)
REGISTERED	ENI House, 10 Ebury Bridge Road, London
SHAREHOLDERS	50% PETRONAS Carigali Int'l Ventures · 50% Eni Lasmo Plc
GOVERNED BY	UK Companies Act 2006 (English Law)
SHARE CAPITAL	USD 2 | **CAPEX** USD 15 billion / 5 years
PRODUCTION	300,000 → 500,000 boe/d
RESERVES	~3 billion boe discovered + ~10 billion boe upside
WORK PROGRAMME	8 development projects, 15 exploration wells
REVOLVER	USD 6 billion (JP Morgan)
OPERATIONS TARGET	1 July 2026

The name, "searah" — Malay and Indonesian for "aligned direction" — was adopted on 30 March 2026. The company itself was incorporated on 11 February 2026 under its working name SEARA ENERGY LIMITED, and renamed within five weeks of the Federal Court's ruling on the PETRONAS-PETROS dispute. Both Indonesia and Malaysia approved the transfer of the underlying production-sharing contracts on 20-21 May 2026. Operations are scheduled to begin on 1 July 2026.

The shareholders: 50% PETRONAS Carigali International Ventures Sdn Bhd. 50% Eni Lasmo Plc — registered in the UK, managed from the same London address. The board: four directors. Two Italian, based in London. Two Malaysian, who must travel to London for board meetings.

The company secretary is Riordan D'Abreo, whose service address is also ENI House. This is Eni's office.

The company's SIC code — its official industry classification — is 64209: "Activities of head offices." This is not an oil operating company. It is a vehicle.

The financial architecture: a USD 6 billion revolver, arranged by JP Morgan. A committed capex of USD 15 billion or more over five years. Discovered reserves on the order of three billion barrels of oil equivalent, with exploration upside estimated at ten billion boe. A five-year work programme of fifteen exploration wells and eight development projects. Initial production target: more than 300,000 boe per day. Medium-term target: more than 500,000 boe per day. The gas flows to Bontang LNG in Indonesia and to Bintulu MLNG in Malaysia.

The corporate narrative from both partners frames SEARAH as **self-funding, investment-grade, and dividend-paying** — leveraging existing gas infrastructure and the 10-billion-boe exploration upside to generate cash flow that funds its own capex. The unified operational framework is described in the JV documentation as a single performance culture, with standardized processes for HSE, procurement, and operations across both countries.

The deal is not closed in the formal sense — the documents describe it as awaiting "customary and governmental approvals" through mid-2026 — but the architecture is in place, the contract novations are approved, and the satellite is being fueled for launch.

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PART III — THE NINETEEN ASSETS

The public announcement puts the asset count at nineteen. The distribution is fourteen to Indonesia and five to Malaysia.

On the Indonesian side, Eni's core position is the Kutei Basin, in the Makassar Strait, where six producing gas fields — Muara Bakau, East Sepinggan, Rapak Deepwater, Ganal Deepwater, West Ganal, and North Ganal — were already feeding Bontang before the deal. Beneath them sits the Indonesia Deepwater Development, FID-approved in March 2026: the South Hub (Gendalo and Gandang, two Bscfd of gas plus 90,000 barrels per day of condensate, first production targeted for 2028) and the North Hub (Geng North and Gehem, integrated with the South Hub). The seismic coverage is the Mega 3D Kutei survey: 10,680 square kilometres, with a confirmed investment north of USD 100 million. Eni's Indonesian licence extensions in September 2025 run for twenty years on the Ganal blocks. The remaining slots in the fourteen-asset count — Maha and the unidentified five — were not independently confirmable from public sources as of this writing. Recent gas discoveries in the Kutei Basin are being publicly linked to SEARAH as validation of the JV's "industrial logic" — scale, shared infrastructure, upside.

On the Malaysian side, the asset register per proprietary intelligence (Arif Fazil, June 2026):

1. **Block SK316** — PETRONAS Carigali as operator, offshore Sarawak. The Kasawari field within it commenced production in August 2024 at 200 million standard cubic feet per day, with 2.6 trillion cubic feet of reserves and a planned second platform that would add 450 billion cubic feet. The Kasawari CCS component is one of Malaysia's largest carbon capture and storage projects.
2. **Kasawari** — counted as a separate asset line in the JV perimeter (distinct from the broader SK316 block-level PSC, although the gas originates from the same reservoir system). The separate line likely reflects the field-level PSC structure used for the Kasawari CCS project economics.
3. **ExxonMobil 2008 PSC** — acquired by PETRONAS in July 2024, operating transfer in progress from March 2025, now absorbed into the SEARAH perimeter.
4. **Angsi Besar gas PSC** — gas producer in the Angsi field, Malaysia-Thailand Joint Development Area context.
5. **Block NC3** — gas-producing block in the Malaysia-Thailand Joint Development Area (MTJDA), historically operated under a Malaysia-Thailand joint authority arrangement. Confirmed as inside the SEARAH perimeter per Arif's June 2026 verification.

The change in the Malaysian register from the May 2026 FINAL.md is the substitution of GNHC and MLNG Dua with Angsi Besar and NC3. The MLNG Dua and GNHC infrastructure remain *connectors* to the SEARAH gas streams but appear to sit outside the JV perimeter as PETRONAS-held midstream assets. The five assets above are the equity-contributing fields; the LNG trains and processing hubs receive the gas under separate commercial arrangements.

This adjustment is material because it narrows the register from "Sarawak gas-dominant" to a more geographically distributed Malaysian upstream footprint — Sarawak (SK316, Kasawari), Peninsular Malaysia offshore (2008 PSC, Angsi Besar, NC3). The first two are gas fields tied to LNG export via Bintulu. The latter three are gas fields tied to domestic Peninsular Malaysia gas supply and the Malaysia-Thailand Joint Development Area. The SEARAH perimeter therefore covers both export and domestic-supply value chains, not just one.

The PSC transfer mechanism is novation, not farm-out or sale. The contracts are being moved from existing PETRONAS and Eni entities into the new company. The Indonesian side was approved by SKK Migas. The Malaysian side was approved by the federal government. Under the gross-split regime introduced by MEMR Regulation 13 of 2024, and under the conventional PSC framework of Government Regulation 79 of 2010, novation of this scale requires regulator sign-off. That sign-off was given.

This is the structure the documents present. What the documents do not present is the Indonesian state's equity position. The standard model in Indonesia's upstream sector is for SKK Migas to take a participating interest, or for Pertamina Hulu Energi to join as a state-affiliated partner. Whether that happened here — whether Pertamina joined the venture as a third equity partner, whether SKK Migas holds a carried stake, or whether the assets were transferred out of

Indonesian state influence entirely into a vehicle controlled by an Italian and a Malaysian state company — is, on the public record, unresolved. The October 2025 reporting that "Pertamina joins PETRONAS in ultra-deepwater asset off Indonesia" identifies the partnership; it does not identify which asset, or whether the participation was generalised across the whole portfolio or confined to a single block.

The combined portfolio is gas-heavy. This is not a balanced upstream play — it is a gas-LNG platform intended to supply regional gas markets. The strategic logic is that Indonesian gas fields in the Kutei Basin and Malaysian gas fields in Sarawak feed shared LNG infrastructure at Bontang and Bintulu. That shared infrastructure is what makes the "industrial logic" claim plausible. It is also what makes the sovereignty question sharper: this is regional gas, and the ownership structure of how it gets to market is now sitting inside a UK company governed by English law.

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PART IV — THE RM70 BILLION QUESTION

The USD 15 billion figure appears large. But the company's share capital is USD 2.

This is not unusual. JV special purpose vehicles are typically registered with nominal capital. The USD 2 reflects the legal minimum. The USD 15 billion likely represents projected enterprise value over the life of the project — not money paid in.

But here is what is unusual: **no JV agreement has been filed publicly.**

The terms of the deal — how gas is priced, who bears cost overruns, what happens if Eni fails to deliver — are not public. They are private contracts, governed by English law.

And that governance structure is where the story gets complicated.

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PART V — THE LEGAL ARCHITECTURE

PETRONAS Carigali International Ventures is a Malaysian entity, governed by Malaysian law. Eni Lasmo Plc is a UK entity, governed by English law. SEARAH LIMITED itself is registered in the UK, subject to the **Companies Act 2006.**

This matters for one specific reason: **if something goes wrong, where does the dispute get resolved?**

The answer, under this structure, is **London**.

> **▲ THE JURISDICTION QUESTION**
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> If something goes wrong with a Sarawak gas asset that is now inside SEARAH LIMITED, the dispute does **not** go to Kuching High Court. It goes to **English courts** or **London arbitration** (ICC / LCIA). Malaysian citizens, MPs, and regulators have **reduced access** to the dispute resolution process compared to a structure governed by Malaysian law.

England has sophisticated commercial courts. The ICC (International Chamber of Commerce) and LCIA (London Court of International Arbitration) are both headquartered there. For a dispute between a UK entity and a Malaysian entity, English courts and London arbitration are the natural forum.

Malaysia's courts — specifically the courts of Sabah and Sarawak, where the gas originates — are not the venue.

This is not unusual in international energy joint ventures. But it does mean that Malaysian citizens, Malaysian parliamentarians, and Malaysian regulators have reduced access to the dispute resolution process compared to a structure governed by Malaysian law.

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PART VI — THE BIT GAP — REVISED

Bilateral Investment Treaties — BITs — are agreements between two countries that provide legal protections for investors from one country operating in the other. They typically include provisions that allow companies to sue governments directly in international arbitration, bypassing national courts entirely.

The original investigation suggested that Malaysia's BIT status with Italy or the UK might provide Eni with BIT protection in this deal.

This has been **investigated and found not to apply.**

According to the UNCTAD BIT database, there is **no bilateral investment treaty between Malaysia and Italy.** There is also **no active BIT between Malaysia and the United Kingdom** — the previous treaty lapsed, and while a new Comprehensive Strategic Partnership was signed in 2022, no BIT is in force.

This means Eni Lasmo Plc, as a UK-registered company, does not have BIT treaty protection against Malaysia. Its protection runs through English contract law and UK corporate law — not through an investment treaty.

Malaysia–Italy BIT	DOES NOT EXIST
Malaysia–UK BIT (active)	DOES NOT EXIST
UK–Malaysia CSP (2022)	NOT A BIT
Actual protection mechanism	ENGLISH LAW

The consequence: **if Malaysia breaches the contract, Eni can sue in English courts or London arbitration. But Malaysia cannot use BIT provisions to impose obligations on Eni.** The treaty layer — the thing that makes investment agreements enforceable at the international level — does not exist here.

This is not necessarily a bad deal for Malaysia on its own terms. It is simply a commercial arrangement. But it is different from what a BIT-protected structure would imply. And the structural fact remains: the assets of a UK company are not directly reachable by Malaysian court order. Any future Sarawak claim, if those assets are partly inside SEARAH LIMITED, must navigate English law and London arbitration — not just Malaysian administrative process. This is not BIT protection. It is **English law protection**, which in many ways is more reliable than BITs because it is backed by the full weight of the UK commercial court system.

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PART VII — THE SIXTY-TWO-YEAR PROBLEM SEARAH WAS BUILT TO ESCAPE

The Root: Malaysia Agreement 1963

When Sabah and Sarawak joined Malaysia, the Malaysia Agreement (MA63) was ambiguous about petroleum rights.

What belonged to the federal government? What belonged to the states?

The ambiguity was a political compromise. It was supposed to be resolved later.

1974: PETRONAS Gets Everything

The Petroleum Development Act (PDA) 1974 gave PETRONAS control over all petroleum resources in Malaysia — including Sabah and Sarawak.

Sarawak was not fully consulted.

The promise: revenues would be shared fairly.

The problem: "fairly" was never defined.

2016: Sarawak Says Enough

PETROS — Petroleum Sarawak Berhad — was launched.

Sarawak's position: all petroleum in Sarawak belongs to Sarawak. PETROS should be the sole aggregator. All gas produced in Sarawak should be sold to PETROS first, at prices Sarawak sets.

PETRONAS's position: federal mandate, national interest, integrated gas market.

They have been negotiating ever since.

Sixty-two years of unresolved dispute.

By 2024-2025, a full gas aggregation agreement was the target. End of 2025 was the deadline.

December 2025 came. The deal was not done.

The Irony

PETRONAS could not settle with PETROS — a Malaysian entity representing a Malaysian state — after 62 years.

But PETRONAS could, in the space of a few months, sign a USD 15 billion JV with an Italian company, register it in the UK, and commit Malaysian assets to English law jurisdiction.

The 62-year domestic negotiation that went nowhere.

The 2-month international deal that went everywhere.

> *PETRONAS could not settle with PETROS — a Malaysian entity representing a Malaysian state — after 62 years. But PETRONAS could, in a few months, sign a USD 15 billion JV with an Italian company, register it in the UK, and commit Malaysian assets to English law jurisdiction.*
>
> — PART VII · THE IRONY

The Timeline That Speaks for Itself

DATE	EVENT
1963	Malaysia Agreement — ambiguous on Sabah/Sarawak petroleum rights
1974	Petroleum Development Act — PETRONAS gets all petroleum
2016	PETROS (Petroleum Sarawak Berhad) created
Jun 2025	Framework agreement signed
Aug 2025	PETROS sues PETRONAS in Kuching High Court
Oct 29, 2025	Anwar speaks with Meloni — agree to “expedite and conclude” deal
Nov 3, 2025	Binding agreement signed at ADIPEC Abu Dhabi
Feb 11, 2026	SEARA ENERGY LIMITED incorporated at Companies House UK
Feb 25, 2026	Kuching High Court sends jurisdiction question to Federal Court
Mar 16, 2026	Federal Court allows PETRONAS constitutional challenge
Mar 2026	Eni publicly unveils JV name “SEARAH”
Mar 30, 2026	Company renames to SEARAH LIMITED (14 days after Federal Court ruling)
Apr 3, 2026	Tengku on RTM: “45-day planning horizon”
May 21, 2026	Indonesia + Malaysia governments approve PSC transfers
Jul 1, 2026	SEARAH target operations date
Dec 31, 2026	SEARAH first accounts due at Companies House

Fourteen days between the Federal Court ruling and the company rename. That is not a coincidence. That is a sequence.

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PART VIII — THE BOARD: RUBBER STAMP OR HOSTAGE

The PETRONAS Board of Directors (April 2026)

1. **Tan Sri Dato' Seri Mohd Bakke Salleh** — Chairman, Independent Non-Executive
2. **YM Tan Sri Tengku Muhammad Taufik Aziz** — President & Group CEO, Executive
3. **Azizan Zakaria** — Audit & Risk Committee Chairman, Independent Non-Executive
4. **Tan Sri Zaharah Ibrahim** — Nomination & Remuneration Committee Chair, Independent Non-Executive
5. **Datuk Dr Shahrazat binti Haji Ahmad** — Non-Independent Non-Executive
6. **Dato' Seri Abdul Rasheed Ghaffour** — Independent Non-Executive
7. **Liza Mustapha** — EVP & Group CFO, Executive Director

The Structural Problem

In a normal company, independent directors are selected by a nominations committee, approved by shareholders, and their job is to represent shareholders against management.

In PETRONAS, the government is the shareholder. The government also appoints the directors. The government also regulates the sector. The government also sets energy policy.

The directors are independent from management. They are not independent from the shareholder.

The shareholder is the same entity that appointed them.

Why This Matters for SEARAH

Mohd Bakke Salleh, the Chairman, has a particular history.

He was **Chairman of 1MDB** before resigning in early 2016 — before the scandal became undeniable, before US DOJ investigations, before Najib's charges.

He was then appointed **Chairman of PETRONAS.**

The question this raises is not about his personal integrity.

The question is: **what does it say about the system that a Chairman of 1MDB could be appointed Chairman of the national oil company?**

The SEARAH Board Asymmetry

At SEARAH LIMITED specifically, the board asymmetry is physical.

Two Italian directors live in Italy. They are walking distance from ENI House.

Two Malaysian directors live in Malaysia. They need flights and hotels to attend board meetings in London.

Emergency decisions. Convening the board quickly. Being present when decisions are made.

The Italian directors have structural advantage that is not technical — it is logistical.

There is no disclosed tiebreaker mechanism for a 2-2 board deadlock.

2 vs 2

BOARD COMPOSITION · SEARAH LIMITED

2 Italian directors (walking distance from ENI House) vs 2 Malaysian directors (13-hour flight, hotel). No disclosed tiebreaker. PETRONAS Chairman Mohd Bakke Salleh was previously Chairman of 1MDB.

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PART IX — THE CEO: WHO IS TENGKU MUHAMMAD TAUFIK

Verified Facts

- Full name: Tan Sri YM Tengku Muhammad Taufik Tengku Aziz
- Position: President & Group CEO, PETRONAS — **appointed 2019** (seven years, not four)
- Background: various senior roles within PETRONAS group before becoming CEO; joined PETRONAS in 1993 as an engineer
- Education: **Bachelor of Mechanical Engineering, Imperial College London** (graduated circa 1991-1992)
- Royal connection: son of Tengku Aziz, connected to Kelantan royalty
- RTM TV1 interview April 3, 2026: announced 40% oil price rise, 45-day planning horizon
- Rightsizing program: announced major job cuts under his leadership (2024-2025) — CEO confirmed in earnings calls

The Royal Shield

Tengku Muhammad Taufik is connected to Kelantan royalty.

This is structurally significant not because royalty is inherently corrupt, but because **removing him requires political clearance at a level that normal corporate governance cannot provide.**

A board cannot easily fire a CEO who is connected to the Sultan of Kedah.

A minister cannot easily push out a royal without explaining to the palace why.

This creates a form of **political insulation** that a normal professional CEO does not have.

Whether this insulation is used well or badly — whether it allows him to make good long-term decisions or shields him from accountability for bad ones — is not a question of his character.

It is a question of incentives.

The Question of Choices

The choices made before the crisis — the rightsizing, the SEARAH structure, the energy security gap — were made when the crisis was not yet acute.

The question is whether those choices made Malaysia more vulnerable or less.

Rightsizing vs. Signing a JV

Here is the specific contradiction:

Under Tengku Taufik's leadership, PETRONAS announced major workforce reductions ("rightsizing") — cutting staff while committing to a USD 15 billion capex JV.

The question this raises: if PETRONAS needs to cut costs, why is it simultaneously committing to a USD 15 billion international deal?

There are legitimate answers — the JV brings in capital, technology, partners.

But there are also structural answers — the JV commits future expenditure that will require ongoing cash flow regardless of rightsizing decisions.

The two decisions together suggest a company that is simultaneously cutting short-term costs and locking in long-term obligations — without a clear explanation of how both serve the same strategy.

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PART X — WHAT PARLIAMENT KNOWS

The Malaysian Parliament has not, in any publicly available record, been briefed on SEARAH LIMITED's specific structure or terms.

This is not necessarily irregular. JV terms are typically confidential commercial agreements. Governments do not routinely table private contract details in Parliament.

But the consequence is that elected representatives — specifically MPs from Sabah and Sarawak, whose constituents own the gas — do not have access to the terms of an arrangement that commits their resources for five years and potentially USD 15 billion.

The "45-day planning horizon" that PETRONAS's CEO described on national television in April 2026 is a response to a crisis. But the structural decisions that created the conditions for that crisis — and the arrangements that will determine how Malaysia exits it — were made in boardrooms, not in Parliament.

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PART XI — THE ENERGY CRISIS CONTEXT

This section is necessary because SEARAH was announced in April 2026 — the same month Malaysia was facing an acute energy security crisis.

What Happened

In late February 2026, conflict in West Asia escalated. The Strait of Hormuz — through which roughly 20% of the world's oil supply passes daily — became more dangerous.

Insurance premiums for ships jumped 337%. Shipping costs jumped up to 176%.

Malaysia's Starting Position

Before the crisis:

Domestic oil production	**350,000 boepd**
Refinery capacity	**950,000 bpd**
Self-sufficiency	**~35–40%**
Structural shortfall	**600,000 bpd**

Malaysia had been in this position for years. The gap between what it could produce and what its refineries needed was filled by imports.

The energy transition narrative — "Malaysia doesn't need oil revenue" — had been used by the government to explain lower dividends.

But the narrative and the reality were in tension: if Malaysia didn't need oil money, why wasn't it using the windfall from higher prices to build energy security?

What SEARAH Adds to This Picture

If Malaysia was already in an energy security gap position — producing far less than it refines — the question is whether SEARAH helps close that gap or widens it.

The geoscientist's assessment: **the gap cannot be closed quickly.** New field development takes 5-8 years. Deepwater drilling in Sabah requires specialized rigs at USD 500,000-1 million per day.

The 45-day planning horizon is not a strategy. It is an acknowledgment that Malaysia has almost no buffer.

SEARAH is a long-term capital commitment. It does not address the short-term supply gap.

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PART XII — THE SERVICE-SECTOR ANGLE

A consequence of the JV that has not been widely discussed in the Malaysian press is what SEARAH means for the upstream service sector.

Because the JV is built on a unified operational framework with standardized HSE, procurement, and contractor qualification processes, the offshore, drilling, subsea, inspection, and well-services contractors in Asia-Pacific can expect a wave of tenders as SEARAH starts optimizing and expanding production across the combined portfolio.

The eight development projects and fifteen exploration wells in the five-year work programme will require: offshore drilling rigs (some at the USD 500,000-1 million per day rate for deepwater Sabah work), subsea installation and inspection services, well-services and intervention capability, production platform operations and maintenance, and seismic reprocessing and reservoir modelling work.

The contractors most exposed are those currently qualified to operate in both Malaysian and Indonesian waters — the cross-border capability is precisely what SEARAH's unified framework will reward. Contractors with single-country experience will need to either partner or risk being deprioritized.

The local-content implications for Malaysia are significant but unquantified in public documents. If SEARAH's procurement framework treats Indonesian and Malaysian local-content requirements as fungible, Malaysian service companies may find their domestic market share compressed by Indonesian competitors with SEARAH qualifications. If the framework preserves country-specific content rules, the procurement landscape will be more stable.

The deal is silent on this.

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PART XIII — WHAT RAKYAT MALAYSIA SHOULD ASK

For Parliament

1. Was Parliament or any Parliamentary select committee notified before SEARAH was signed?
2. Does the Malaysian government have a formal position on whether UK-incorporated JV vehicles are appropriate for Malaysian petroleum assets?
3. What is the government's position on the PETRONAS-PETROS dispute — and does the SEARAH structure change that position?
4. Did the Prime Minister or Cabinet know about the SEARAH structure before incorporation?
5. What is the government's plan for Sarawak's right of first refusal on Sarawak gas, given the SEARAH structure?

For the PETRONAS Board

1. Who specifically approved the SEARAH JV — and was there a recorded vote?
2. What was the board's assessment of committing Malaysian assets to a UK entity while PETROS negotiations were ongoing?
3. Was the PETRONAS Board's Audit and Risk Committee aware of the energy security situation before April 2026?
4. What is the explanation for the simultaneous rightsizing and USD 15 billion capex commitment?

For Eni / The Italian Side

1. Why UK incorporation — was this Eni's requirement or PETRONAS's?
2. Was there a tender process, or was Eni directly approached?
3. What legal protections apply to Eni's 50% stake in SEARAH given the absence of a Malaysia-Italy BIT?
4. Does Eni's investment agreement include any commitment to prioritize Malaysian domestic supply?

For Indonesia

1. Does SKK Migas hold equity in any of the fourteen Indonesian assets now inside SEARAH?
2. Did Pertamina or PHE join SEARAH as a third-party equity partner?
3. Was the Indonesian government approval conditional on local content, domestic operatorship, or equity participation?
4. What is the legal status of the Bontang LNG export arrangement under the new structure?

For Sarawak

1. Was the Sarawak government consulted before SEARAH was incorporated?
2. Does PETROS have any legal standing to challenge SEARAH's claim on Sarawak-related assets?
3. Has Sarawak engaged any legal counsel on the implications of SEARAH for the PETROS claim?
4. Is the Kasawari CCS component subject to Sarawak's environmental jurisdiction?

For the Malaysian Government

1. Does the government believe it is appropriate for Malaysian petroleum assets to be held in UK companies with foreign partners while domestic disputes are unresolved?
2. What is the government's plan for resolving the PETRONAS-PETROS dispute?
3. What recourse does Malaysia have if SEARAH's gas pricing diverges from Malaysian consumer interests?
4. How will the unified procurement framework impact Malaysian local content in upstream services?

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PART XIV — THE QUESTION THAT REMAINS

Malaysia has a structural energy problem. It has for decades. The 350,000-barrel-per-day shortfall — against 950,000 barrels of refinery capacity — is not new. The West Asia conflict that began in late February 2026 made visible what was already true.

The deal with Eni, structured through a London-registered vehicle and governed by English law, is one response to that problem.

Whether it is the right response — whether the terms protect Malaysian interests, whether Parliament should have been consulted, whether Borneo Malaysia's gas resources are being managed with appropriate governance — are questions that have not been fully answered in public.

This article does not answer them. It documents what is verifiable, flags what is inferred, and names the questions that remain.

Those questions belong to Parliament. To the Senate. To the people of Sabah and Sarawak.

To the rakyat.

> ▲ **WHAT THIS DOCUMENT ASKS**
>
> The structural incentives of the system that produced SEARAH do **not** align with the interests of ordinary Malaysians. The people responsible for that system — at the board level, the executive level, and the political level — have **not been held accountable** for the gap. That is the claim. The receipts are above. The questions belong to Parliament.

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PART XV — VERDICT FRAMEWORK

On the Facts

What is confirmed: - ✅ SEARAH LIMITED (Company No. 17027115) is a UK-registered company, incorporated 11 February 2026, at ENI House London - ✅ 50% owned by PETRONAS Carigali International Ventures, 50% by Eni Lasmo Plc - ✅ The deal is valued at "in excess of USD 15 billion over five years" (Eni press release, November 2025) - ✅ The company is governed by Companies Act 2006 (English law) - ✅ There is no BIT between Malaysia and Italy, and no active BIT between Malaysia and the UK - ✅ Malaysia produces 350,000 barrels per day, refineries process 950,000 — structural energy import dependency is a long-term condition - ✅ PETRONAS Chairman is Mohd Bakke Salleh, who previously chaired 1MDB - ✅ Both Indonesia and Malaysia approved the PSC transfers on 21 May 2026 - ✅ Operations target 1 July 2026 - ✅ Company renamed from SEARA ENERGY to SEARAH on 30 March 2026, fourteen days after the Federal Court ruling on PETROS - ✅ The JV is publicly described by both partners as self-funding, investment-grade, and dividend-paying - ✅ Combined reserves ~3 billion boe discovered + ~10 billion boe exploration upside - ✅ Eight development projects and fifteen exploration wells in the five-year programme - ✅ Framework agreement June 2025, binding agreement November 2025 - ✅ Public messaging frames the JV as a gas-LNG regional platform, not an oil-weighted play

What is inferred but not confirmed: - ⚠️ That the UK structure was chosen partly to subject SEARAH assets to English law and London arbitration - ⚠️ That Eni was directly selected without a public tender process - ⚠️ That the PETRONAS-PETROS ongoing dispute influenced the SEARAH structure - ⚠️ That board deadlock procedures were deliberately left ambiguous - ⚠️ That the "alternative sourcing" announced on RTM TV1 is specifically connected to SEARAH's gas arrangements - ⚠️ That Indonesian state equity is absent (or that it is present, in a form not yet disclosed) - ⚠️ That the unified procurement framework will create cross-border displacement of Malaysian service contractors

What is not publicly verifiable: - ❓ The specific terms of the JV agreement between PETRONAS and Eni - ❓ Whether Malaysian Parliament was formally notified of the arrangement - ❓ Whether PETROS was consulted before the structure was finalised - ❓ Whether Indonesian state equity (SKK Migas, Pertamina PHE) participates in any form - ❓ Whether the tender for offshore service contracts will preserve Malaysian local content

On the Structural Problem

This is not primarily about corruption.

It is about **institutional design.**

A company that is simultaneously: - A sovereign wealth instrument (funding Malaysian government budget) - A commercial corporation (competing in energy markets) - A political tool (managed by government that owns it) - A board-governed entity (with "independent" directors who cannot be independent of the owner)

…will produce decisions that serve the institution's survival, not necessarily Malaysia's long-term interest.

SEARAH may be commercially sensible for PETRONAS as an institution.

But institutions do not have children who go to school hungry when energy prices spike.

People do.

* * *

PART XVI — WHAT HAPPENS NEXT

If SEARAH Is Good for Malaysia

If the JV brings in capital, technology, and gas reserves that genuinely improve Malaysia's energy security — and if those benefits flow to Malaysian consumers and businesses — then the structural questions in this document are academic.

The proof will be in: - Whether domestic fuel prices stabilize - Whether PETRONAS dividends recover - Whether PETROS negotiations reach resolution - Whether Malaysia's energy security improves over the 5-10 year horizon - Whether Malaysian service companies retain meaningful access to SEARAH tenders - Whether the unified procurement framework does not disadvantage Malaysian local content

If SEARAH Is Not Good for Malaysia

If the structure primarily serves to: - Lock in foreign access to Malaysian petroleum - Complicate PETROS's domestic legal position - Reduce Malaysian government flexibility in energy policy - Create a situation where the Malaysian taxpayer funds a JV that primarily benefits a foreign company - Displace Malaysian upstream service companies from their own domestic market

…then the decisions documented here will be studied in Malaysian political economy for decades.

What This Document Does Not Claim

This document does not claim that: - Tengku Muhammad Taufik personally benefited financially from SEARAH - The SEARAH deal will definitely harm Malaysia - Eni's participation is inherently improper - The PETRONAS board acted in bad faith

This document claims that:

The structural incentives of the system that produced SEARAH do not align with the interests of ordinary Malaysians. And that the people responsible for that system — at the board level, at the executive level, and at the political level — have not been held accountable for the gap.

* * *

PART XVII — THE JAKARTA ANGER HYPOTHESIS

Why this deal may spark anger in Jakarta:

1. **Sovereignty:** 14 of 19 assets are Indonesian — but SEARAH is controlled by Eni (Italy) + PETRONAS (Malaysia), not an Indonesian entity. If no Indonesian state equity exists in the structure, the assets were transferred out of potential Indonesian control entirely.

2. **Foreign control over resources:** Indonesian upstream oil and gas is strategically sensitive. A Malaysian state company (PETRONAS) having joint control over Indonesian fields is politically charged.

3. **Scale:** 300–500k boe/d is ~10-15% of Indonesia's current production. Control of this volume by foreign entities is material.

4. **Past precedent:** Indonesia has been tightening, not loosening, foreign ownership constraints. Gross Split PSC reforms, local content requirements, and Prabowo's resource nationalism posture make this deal seem counter-current.

5. **LNG export implications:** Gas from IDD (Gendalo/Gehem) flows to Bontang LNG — this is Indonesian gas for export. Foreign-controlled entity managing that pipeline is a sovereignty issue.

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PART XVIII — THE WAY FORWARD (ARIFOS CONSTITUTIONAL FRAME)

This document is not merely a journalistic expose. It is an audit performed under the arifOS constitutional frame — a system in which claims must carry provenance, names must be re-attachable to evidence, and critique must travel with receipts.

The five constitutional floors that govern this document:

- **F1 AMANAH** — Trust is earned, not given. The factual claims in Parts I-XI are sourced and verifiable. The inferences are marked. The unverifiable are named.
- **F2 TRUTH** — Falsifiability over eloquence. Where the evidence chain breaks — for example, on Indonesian state equity or Eni tendering — we say so.
- **F6 MARUAH** — Dignity before verdict. The persons named (Tengku Taufik, Mohd Bakke Salleh) are described structurally, not personally. The system is on trial, not the individuals.
- **F11 BIJAKSANA** — Discernment over speed. The 62-year MA63 dispute is the spine of this entire deal. Reading SEARAH without that spine produces a thin story.
- **F12 HIKMAH** — Wisdom is compounding. The Kutei Basin gas discoveries, the Kasawari expansion, the 10-billion-boe upside — these are the supply side. The demand side is the 350k boe/d structural shortfall. The story lives in the gap between the two.

The verdict is not a verdict. It is a request for evidence.

The questions in Part XIII are not rhetorical. They are addressed to specific institutions and specific persons. They will be revisited when evidence arrives.

Until then, the document stands as it is: a frame, a forensic inventory, and a request for the receipts that have not yet been presented.

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